TRUSTS

A trust is merely a detailed plan that tells the government how to distribute your assets after your death. Since it is a legal entity, much as a corporation is, a trust that is activated before you die does not need to be probated (proved). So it avoids the delay and costs of probate.

There are two basic kinds of trusts. One is called inter vivos, or a living trust. The second is called a testamentary trust. A living trust means exactly that. It is established while you're alive. A testamentary trust means that it is activated upon your death.

There are two common types of living trusts. The first is a revocable trust and the other is an irrevocable trust. Revocable means that the donor can change or cancel the trust while he is alive. Irrevocable means that the donor gives up all rights to the assets assigned to the trust. For instance, assume that I set up an irrevocable living trust and put assets in it, such as my home, my insurance, stocks and bonds. I am bound by the terms of the trust while I am alive. Upon my death, the assets of the trust will be managed or distributed as I determined.

However, in a revocable living trust I have the right to withdraw the assets at any time prior to my death. The trust becomes irrevocable upon my death.

Neither trust will have to go through the probate court. However, the assets in the revocable trust can be taxed, because they are a part of my estate. If I reserve the right to control them, the law considers that they belong to me.

The most common type of trust for most families is a part of their will. Let's assume that in my will I state, "Upon my death, take my insurance and put it into a trust so that the assets are managed to provide for my wife as long as she's alive. Upon her death, liquidate this trust and distribute the proceeds to my children equally." This becomes a testamentary trust. All of my assets would go through the probate court, but then the trust would take effect. The reason for a testamentary trust is to direct the use of the assets and avoid unnecessary estate taxes in the event of a common accident.